Healthcare Phoenix Autocallable

Instructor review pack — narrative and exhibits A–E

04 September 2026 · Work in progress · Alexandre Landi

Instructor review edition. This watermarked pack is for adoption review and pilot planning. It is **not** the final student handout: rubric and model answers will live in a separate teaching note; the student case will not include this page. Student deliverables are listed in Section 8.

Synopsis

Decision case: a junior structurer at Banque Meridian must recommend whether to **launch**, **revise**, or **reject** a five-year healthcare **Phoenix** autocallable for EU retail, fixed at the **27 November 2026** market snapshot. Proposed terms (6% conditional coupon, 60% barrier, 100% issue) are expected to fall short of the desk's **1.5%** gross margin once priced by Monte Carlo. Students reconcile fair value, PRIIPs KID language, distributor pressure, and MiFID II governance.

Intended use

Format	Individual assignment
Level	MSc Finance / advanced undergrad derivatives course
Prerequisites	GBM and discounting; barrier/path-dependent intuition; Monte Carlo (Excel or Python)
Deliverables	§8: pricing workbook · payoff diagram · ≤1-page recommendation · short compliance note
Model answer (draft)	**Revise** a product lever at $\sigma = 17\%$ desk mid; ±1 vol = repricing risk; FV below 100% at 100% issue

Learning objectives

1. Decompose a **Phoenix** autocallable into elementary payoffs.
2. Price a path-dependent note by Monte Carlo using locked Exhibit D inputs.
3. Link commercial narrative (Exhibits B1–B2) to product terms and spot mismatches.
4. Interpret PRIIPs KID scenarios (Exhibit C) vs internal fair value.
5. Form a governance judgment: launch, revise, or reject.

Pack structure

Healthcare Phoenix Autocallable

Section	Content
Exhibit B1	FT Adviser excerpt (EN)
Exhibit B2	Les Echos Investir excerpt (FR)
Exhibit C	PRIIPs KID excerpt (draft)
Exhibit D	Market data · 27 Nov 2026 snapshot
Exhibit E	Competitor scan (Italy)

Still to build for classroom release: full teaching note (rubric + model answers) and a student-facing PDF without this instructor page. Teaching note should reinforce: 27 Nov = committee reference only; real desks reprice at issue (C1/C6); student MC stays frozen. Student deliverables are already in Section 8. Reference MC pricer: `phoenix_mc_pricer.py` *in the repo root.*

Acknowledgements

Thanks to **Massimo Passamonti** for expert feedback on product mechanics and terminology.

Teaching case. Banque Meridian, its personnel, and the proposed note terms are fictional. The product type and market setting are drawn from standard EU retail structured-product practice.

1. Setting

You are a **junior structurer** on the Retail Structured Products desk at **Banque Meridian**, a pan-European bank with a growing franchise in thematic notes for advised retail and private-banking clients. You joined the desk two years ago after a quantitative finance master's degree and a six-month rotation on the rates exotics floor. Until now you have supported senior colleagues on autocallables and reverse convertibles — building payoff grids, checking KID numbers, and sitting in on distributor calls — but you have never **owned** a retail launch from term-sheet draft through pricing-committee sign-off. That changes today.

The desk sits in **Paris**, a short walk from the wealth-management floors that feed French and cross-border distribution. Final **pricing committee** approval for retail issuance, however, is convened in **Luxembourg**, where the bank's structured-products platform books most EU retail notes. On issue days you work with both locations remotely until the committee meets: Paris for distributor dialogue, Luxembourg for governance and sign-off.

Banque Meridian distributes through its own retail and private-banking networks in **France**, **Italy**, and **Luxembourg**. For this launch, distribution stays on those Meridian channels — not third-party platforms. Retail structured products remain a meaningful fee pool for the bank, but the regulatory environment has tightened. **MiFID II** product-governance rules require a documented target market, and every retail note must ship with a **PRIIPs Key Information Document** (KID) whose prescribed scenarios can read very differently from the headline coupon on a term sheet. Compliance sits one floor above you; they are helpful, but they will not sign a KID that your fair-value work cannot support.

The desk and the pipeline

Your team of eight structurers covers equity-linked and credit-linked retail notes, typically **Phoenix** and **Athena** autocallables and soft-barrier income products on single indices or thematic baskets. Distributors want **simple stories**: a sector recovery, a familiar index, a conditional coupon that sounds generous next to deposit rates. They want **fast** turnaround when a theme is in the press. The head of Structured Products (Retail) sets a **minimum gross structuring margin** of **1.5%** of nominal on new issues — enough to cover distribution rebates, hedging slippage, and the occasional gap between internal model and street quote. Issues are almost always quoted to clients at **100%** of the €1,000 minimum denomination; economics live in the spread between **fair value** — the desk's model present value of the note's expected cash-flows under the locked market snapshot and documented assumptions (volatility, discounting) — and that 100% issue price. Fair value here is an issuer/structuring measure used to test the gross margin floor; it is not a client valuation or a distributor all-in price after rebates.

Since late summer, **healthcare** has moved to the front of the thematic pipeline. Two August articles — an English-language adviser piece and a French retail-investor study — argued that pharmaceutical and healthcare equities had lagged fundamentals and were beginning to re-rate (see Exhibits B1 and B2). French private bankers forwarded the Les Echos excerpt to your desk within days. Italian distributors were less focused on French press coverage and more anxious about **competition**: rival banks were already marketing healthcare-linked certificates into their networks. Your head of desk treated the theme as a year-end priority — a product that could close before calendars shut and keep Meridian visible with key distributors.

Your role today

Over the past week you have assembled the working pack for a five-year **healthcare Phoenix** on the **Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5%** index: proposed terms (Exhibit A), market data as of the **27 November** trade date (Exhibit D), draft KID excerpts, and a competitor scan still being finalised (Exhibit E). Initial fixing on the index was set on **Wednesday 27 November**. The Luxembourg pricing committee meets **today**, 1 December 2026, at 10:00. If validated, issue and settlement are expected around **two weeks** later — [15 December 2026].

You own the pack: confirm the proposed terms clear the desk margin floor at the quoted issue price, or come with revised terms before Meridian commits to distributors in Paris and Milan. Economics (100% issue, 1.5% floor, fair value) are set out in the desk rules above; the formal request arrived on **Friday 28 November**, the evening after initial fixing.

2. The ask

On Friday evening, your head of desk sent the email below and attached an internal launch memo. You spent the weekend finalising fair-value work and chasing the competitor scan. The email is reproduced as received; the memo follows.

> **From:** Marie-Cécile Fontaine, Head of Structured Products (Retail)
> **To:** Retail Structuring — Junior Desk
> **Date:** Friday, 28 November 2026, 18:42
> **Subject:** RE: Healthcare Phoenix — **need pricing pack for Monday committee**
>
> Team,
>
> Initial fixing went through at 2318.47 on the iSTOXX healthcare decrement index — Dana posted the market-data pack. Good.
>
> **France:** Réseau Patrimoine (our main private-banking feed) wants a healthcare income note **before year-end**. They are still forwarding the Les Echos piece from August and asking for a 6%-style coupon story for advised clients. We promised a draft term sheet this week.
>
> **Italy:** Banca Lombarda's structured-products desk is less interested in the sector pitch and more interested in **why Intesa already has something out**. I need the **competitor one-pager** on my desk Monday AM — even a single slide. If we cannot match or beat the headline, they will route flow elsewhere in Q1.
>
> Attached is the launch memo for the Luxembourg pricing committee on **Monday 1 December, 10:00**. You own the pack — this is your first full retail sign-off, so I will review your numbers Monday at **08:00**, but **you** present fair value and the launch recommendation.
>
> Target remains **100% issue** and **≥ 1.5%** gross margin. If you cannot get there, come with revised terms — do not ask the committee to approve a loss leader.
>
> — MCF

In desk usage, the **pricing pack** is the committee file you own: Monte Carlo (or equivalent) fair value and sensitivities at the locked 27 November snapshot, the proposed or revised terms, margin versus the 1.5% floor, and a one-page launch / revise / reject recommendation coherent with the KID draft.

Internal launch memo

Banque Meridian · Structured Products (Retail) · CONFIDENTIAL

Reference	BM-SP/2026/HC-PHX-047
Date	28 November 2026
Expected issue date	[15 December 2026] (initial fixing 27 November 2026; committee 1 December 2026)
Owner	Junior structurer, Retail SP desk (Paris)
Committee	Luxembourg pricing committee — 1 Dec 2026, 10:00 CET

Background

Year-end healthcare slot for Meridian's own France / Italy / Luxembourg networks, driven by August press demand (dossier attached) and Italian competitor pressure. Commercial detail is in the head-of-desk email above and Section 3; this memo records the transaction for committee sign-off.

Proposed transaction

Product	Healthcare Phoenix Autocallable Notes due 1 December 2031
Underlying	Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% (EUR)
Structure	6% p.a. conditional coupon · 60% coupon/capital barrier · annual autocall at 100%
Issue price	100% of €1,000 denomination
Target notional	EUR 50 million
Distribution	France (lead), Italy, Luxembourg
Terms	Attached summary term sheet — HC-PHX-047-TS

Issuer: **Banque Meridian** (Luxembourg) — own-name retail issuance; the desk both structures and books the note. KID draft attached (pending your fair-value run).

Commercial objectives

1. Secure **Réseau Patrimoine** pipeline for Q4 and early Q1 thematic slots.
2. Retain **Banca Lombarda** as a healthcare flow partner against Intesa-led competition.
3. Maintain Meridian's visible presence in EU retail structured products before the holiday slowdown.

Sales has pre-marketed a **"6% healthcare income"** headline to both networks. Any revision must be explainable to advisers without undermining credibility.

Pricing and governance requirements

The pricing committee will not approve issuance unless the desk confirms:

1. Monte Carlo (or equivalent) **fair value** at the **27 November market snapshot** (attached market-data pack), at the desk mid volatility and with documented credit-spread assumptions.
2. **Gross structuring margin** ≥ **1.5%** of nominal at the proposed **100%** issue price, **or** a revised term sheet that meets the margin floor.
3. Consistency between internal fair value, proposed marketing language, and the **PRIIPs KID moderate scenario**.
4. Target-market and suitability assessment under MiFID II product-governance rules.

If proposed terms are uneconomic, the owner must present **revised** coupon, barrier, autocall, maturity, or issue-price parameters and a clear **launch / revise / reject** recommendation.

Materials for committee

Document	Description	Status
Term sheet	Healthcare Phoenix — final terms (HC-PHX-047-TS)	Final draft
Press dossier	FT Adviser + Les Echos excerpts (August)	Final
KID draft	PRIIPs key information document	Draft — pending your FV
Market-data pack	Index level, curve, vol inputs — 27 Nov fixing	Final
Competitor scan	Intesa / Italian market comparison	Due Monday AM
Pricing workbook	Monte Carlo fair value and sensitivities	Owner to complete

Sign-off requested

Role	Name	Action
Head of SP (Retail)	M.-C. Fontaine	Review Monday 08:00
Junior structurer (owner)	You	Present FV + recommendation, 1 Dec
Compliance	PRIIPs / target market	KID sign-off if launch
Pricing committee	Luxembourg	Approve / reject / revise terms

End of memo. The documents listed above are reproduced in this case as Exhibits A–E. Market context and product mechanics follow in Sections 3–4.

3. Market context

The healthcare theme entering your committee pack is not a blank-sheet trade idea. It is already circulating in distributor conversations, shaped by two August 2026 press articles that advisers now treat as shorthand for the sector story (Exhibits B1 and B2). Both pieces argue that healthcare valuations had become disconnected from fundamentals, then began to recover as political pressure eased and acquisition activity resumed.

For your French network, the messaging is mostly valuation-driven: healthcare had lagged, discounts widened, and a mean-reversion narrative became sellable again once policy risk looked less acute. The **FT Adviser** article highlights that framing directly:

> “Pharmaceuticals trade at one of the largest discounts to the broader market on record … a mean-reverting thing. These discounts don’t last forever.”

The French-facing conversation is reinforced by **Les Echos Investir**, which links improved visibility to renewed M&A by large pharmaceutical groups:

> “Après ce regain de visibilité, les big pharmas se sont senties beaucoup plus à l’aise pour délier leur bourse … On a assisté à un retour en force des fusions-acquisitions.”

For Italian distributors, the trigger is different: competitor activity and headline economics on comparable certificates, not French media coverage itself.

Internally, the desk reads both articles as **commercial support** rather than valuation evidence for the note itself. They can justify why clients are willing to discuss healthcare exposure at year-end, but they do not determine whether the proposed Phoenix terms are economically sound at 100% issue with a 1.5% margin target.

This distinction matters for the committee: the same press narrative that strengthens the sales pitch can coexist with a product configuration that is too expensive for the issuer once market data, barriers, and coupon mechanics are priced consistently.

Exhibits B1 and B2 are included as abridged source extracts. Product mechanics and market inputs follow in Section 4 and Exhibit D.

4. Product brief

The proposed instrument is a five-year **Phoenix autocallable** on the Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% index (ISX5HCTD, EUR). In client language, it offers conditional quarterly income with potential early redemption if the index is at or above its initial level on annual autocall dates. In desk language, it is a path-dependent structure whose economics are driven by three linked features: the quarterly coupon condition, annual autocall condition, and soft capital barrier at maturity.

Desk terminology distinguishes **Phoenix** from classic **Athena**: a Phoenix has **separate** coupon and autocall barriers, and pays a conditional coupon whenever the coupon condition is met — even if the note is not autocalled. A classic **Athena** aligns those barriers; coupons are typically accumulated and paid together with redemption when the autocall trigger fires. Do **not** treat retail **Athena** wording as a different payoff: distributors sometimes misuse **Athena** as a catch-all label for autocallable income notes. This note is a **Phoenix** (separate coupon and autocall barriers). Exhibit A follows that desk naming.

Headline terms — desk summary only; full legal wording and date schedule in **Exhibit A**: 100% of €1,000 issue; 6.00% p.a. (1.50% quarterly) if index ≥ 60% of initial; annual autocall at ≥ 100% (2027–2030); at final valuation, redeem 100% if ≥ 60%, else pro rata to final index performance.

How the payoff works

The table below is the desk's simplified decision map for committee discussion (not legal terms). It focuses on **what decision is taken at each observation date**.

Date type	Condition on index	Cash-flow consequence
Quarterly coupon date	Index >= 60% of initial	Pay 1.50% coupon for that quarter
Quarterly coupon date	Index < 60% of initial	No coupon (non-memory; not recovered later)
Annual autocall date	Index >= 100% of initial	Redeem at 100% + coupon due; note terminates
Annual autocall date	Index < 100% of initial	No autocall; continue to next observation date
Final valuation (if not autocalled)	Index >= 60% of initial	Redeem 100% + final coupon
Final valuation (if not autocalled)	Index < 60% of initial	Redeem 100% × (Final / Initial)

Why this structure is commercially attractive

For distributors, the package is easy to present: a thematic healthcare story, a visible coupon number, and partial downside protection versus direct equity exposure. It also matches a familiar retail template in France and Italy where annual autocall mechanics are well understood by adviser networks.

For the issuer, attractiveness depends on **priceability**, not marketing language alone. The same terms that improve client appeal (high coupon, low coupon barrier) can compress margin when priced against the 27 November market snapshot. That tension is the center of your committee decision.

Risks and suitability points flagged before committee

- **Complexity risk:** multiple observation dates and conditional cash flows can be misunderstood by end clients.
- **Barrier risk:** below 60% at final valuation, capital loss is linear with index decline.
- **Autocall / reinvestment risk:** early redemption occurs in stronger markets, forcing clients to reinvest when comparable yields may be lower.
- **Issuer credit risk:** notes are unsecured obligations of the issuer.
- **Scenario communication risk:** PRIIPs moderate scenario may not align with the sales headline unless assumptions are explained clearly.

A full payoff diagram is intentionally not provided here. Construct one from Exhibit A as required in Section 8 (Deliverables); an optional instructor diagram can be added later as Exhibit F.

5. Data and constraints

You arrive at committee with a deliberately **mixed** pack: locked inputs are fixed below; only the ALM credit spread requires your documented **choice**. Volatility is a **desk mid** agreed with trading — not a junior pick — but you must show how margin moves if vol reprices before issue. The desk rule is that pricing must be reproducible from the documents on the table — not from live market feeds or post-fixing index prints.

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Locked inputs

The following are fixed for this decision:

Item	Source / value
Trade date / initial fixing	27 November 2026 · S_0 = 2,318.47 — Exhibit D
Committee date	1 December 2026 (today)
Expected issue date	[15 December 2026] (if committee validates)
Proposed structure	6% p.a. conditional · 60% barrier · annual autocall at 100% — Exhibit A
Issue price	100% of €1,000 denomination
Implied volatility	Desk mid **17%** flat Black (Exhibit D) — agreed with trading; not student-chosen
EUR discount curve	Observation-date OIS zeros — Exhibit D (locked; hedge / index)
ALM credit grid	Spreads vs OIS by expected life — Exhibit D; student chooses tenor
Index decrement	5% p.a. continuous (q); already embedded in published index level
Margin floor	1.5% gross structuring margin to bank

In practice, the 27 November pack is a **committee reference**: once terms are approved, the desk would reprice on then-current market data (and typically leave the underlying fixing for issue day) so coupon and margin targets still clear — locking every commercial term too early invites distributors or the street to arbitrage you if markets move. For **this assignment**, Monte Carlo stays on the frozen snapshot only; do not pull live or post-fixing levels. Vol ±1 below stands in for **issue-date repricing risk** if implied vol has moved when the note prints.

Judgement call and vol risk (documented)

1. **Credit spread (frais de crédit).** The OIS curve in Exhibit D is locked and is used for the **index / hedge**. Coupons and redemption are unsecured liabilities of **Banque Meridian**: they do **not** discount at OIS. Exhibit D gives Meridian ALM / treasury's short grid of credit spreads versus OIS by **expected life**. You must (i) state an expected life — **1Y** if you argue the note is likely to autocall at the first opportunity; longer if you expect it to remain outstanding, or if redeemed clients will be rolled into a new theme — (ii) take the matching spread s from the grid, and (iii) discount note cash-flows with

$$\mathrm{DF}_{\mathrm{note}}(T) = \mathrm{DF}_{\mathrm{OIS}}(T)e^{-sT}$$

   (Exhibit D). A wider spread lowers fair value and improves modelled margin. Do not invent a spread outside the grid; do not apply the spread to index drift.
2. **Volatility (repricing risk, not a choice).** Base-case fair value uses the desk mid of **17%**. Do **not** pick 16% or 18% to "make the trade work." Run at least **±1 vol point** (16% / 18%) around that mid and state how much margin would be gained or lost if vol moves before issue. Context for why 17% is the working mid is in Exhibit D.

If proposed terms miss the margin floor, revise a **product** lever — coupon, barrier, autocall trigger, **maturity** (e.g. 4.5Y, or a 4/5/6Y schedule protocol), or issue price — not the vol assumption. Maturity changes imply a rebuilt observation schedule; state the new tenor clearly and re-price consistently.

Everything else needed for a first-pass Monte Carlo fair value should flow from Exhibits A and D alone.

Regulatory and commercial constraints

Beyond fair value, approval depends on consistency across three lenses:

1. **Internal economics** — fair value at 100% issue and gross margin vs the 1.5% floor.

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2. **PRIIPs KID** — prescribed moderate / unfavourable / favourable scenarios and risk indicator must not contradict defensible marketing (Exhibit C, draft).
3. **MiFID II target market** — product governance: advised retail, buy-and-hold compatible horizon, clients who can bear barrier and issuer risk (Exhibit A, target-market summary).

Sales language already in market (memo) must stay coherent with the KID; Section 7 lists the phrases under scrutiny.

Materials still in flux

Pack status for each attachment is in the Section 2 launch memo. As you walk into the room, two items remain open: the **KID draft** cannot be signed until your fair value and credit-spread choice are on record, and the **competitor scan** is still finalising Monday morning. The scan informs **distribution** judgement (can Meridian match Italian headline economics?); it does not replace your own fair-value work.

What the committee expects from you

Be ready to present without opening a live pricing terminal. The in-room agenda is in Section 6; the formal hand-in checklist is in Section 8.

6. The decision

At 09:52, your video tile appears in the Luxembourg pricing committee queue. Your head of desk joins from Paris. Compliance has dialed in with the latest KID draft open. Sales is not in the room but is waiting for a go/no-go message before calling the French and Italian distribution teams.

You have ten minutes to present:

1. your fair value range under documented assumptions,
2. gross margin at 100% issue under the proposed 6% / 60% structure,
3. one revised **product** lever if the 1.5% floor is not met (coupon, barrier, autocall, maturity, or issue price — not vol),
4. a launch recommendation that is coherent with KID language and target-market constraints.

The chair reminds the room that this is not a marketing debate. If economics fail at the locked market snapshot, terms must be revised before any launch message is sent. If terms are revised, sales needs wording that can be explained quickly to advisers already primed on the pre-marketed coupon headline (Section 7).

Committee pressure points

The discussion quickly narrows to five pressure points:

- **Economics:** whether the proposed package can clear the 1.5% margin floor at 100% issue.
- **Commercial credibility:** how far terms can move before French and Italian distributors perceive a bait-and-switch.
- **Fit and priorities:** product–target-market fit, sales wording, and ranking versus other offers on the desk — not only fair value and margin.
- **KID coherence:** whether moderate-scenario disclosures remain defensible under the desk mid vol, chosen credit spread, and discounting assumptions.
- **Execution timing:** whether there is enough time to revise terms and still hit year-end distribution windows.

No one questions the healthcare story itself. The disagreement is about whether the story supports this **specific** package at this **specific** price.

Your recommendation

You are asked to close with a single recommendation for immediate action:

Option A	Launch proposed terms unchanged (6% coupon, 60% barrier, 100% issue)

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Option B	Revise terms before launch (adjust one product lever — coupon, barrier, autocall, maturity, or issue price — and re-clear margin / KID checks)
Option C	Reject this launch window and re-open later with a redesigned structure

Justify the option in the ≤1-page recommendation memo required in Section 8 (assumptions, margin vs floor, distributor reaction, conduct / suitability risks).

Your recommendation will determine whether Meridian sends a launch confirmation before noon or reopens structuring with revised terms.

Section 7 outlines the governance tensions that sit alongside the pricing decision. Formal deliverables and required analysis are listed in Section 8.

7. Governance and open tensions

Even with a defensible fair-value range, this launch sits at the intersection of three regimes that do not always speak the same language: **desk economics**, **retail disclosure**, and **distributor sales practice**.

Press narrative versus PRIIPs scenarios

The August press dossier supports a constructive healthcare story — recovery, re-rating, M&A visibility. It is useful for opening adviser conversations. It is **not** a substitute for product-level risk disclosure. PRIIPs requires prescribed performance scenarios over defined horizons; the moderate scenario in particular can understate headline coupon language if clients focus on the 6% annual equivalent rather than conditionality, barriers, and early autocall mechanics. Compliance's concern is not whether healthcare is a good sector, but whether advisers can explain what the **note** does when the index path is unfavourable.

Target market and suitability

Exhibit A describes a target market of advised retail and private-banking clients with a buy-and-hold compatible horizon and tolerance for barrier and issuer risk. That profile is broad. Product governance asks whether the **same** structure should be sold to a French private-banking client attracted by the Les Echos recovery narrative and an Italian retail client comparing headline coupons against a competitor certificate — when the economic terms may need revision to meet internal margin standards. Suitability is not only "can the client bear loss?" but "is this the right product at this price for this client channel?"

Sales language under scrutiny

Several phrases already circulating in distributor channels would draw scrutiny if the note launched unchanged at uneconomic terms:

- **"6% healthcare income"** — obscures that coupons are conditional and non-memory.
- **"Protected down to 40%"** — common shorthand for a 60% barrier; easy to misread as capital guarantee above the barrier on every date, not only at final valuation.
- **"Healthcare recovery play"** — conflates sector equity exposure with structured-note payoff mechanics and issuer credit.

The desk does not need to draft marketing copy in the committee room, but it cannot ignore what sales is likely to say once a launch confirmation goes out.

Competitor pressure versus issuer discipline

Italian distributors will compare Meridian's headline to Intesa-style alternatives (Exhibit E). French distributors care more about thematic fit and adviser materials. Neither comparison relieves the structurer of the 1.5% margin floor. A product launched to "match the street" at sub-economic terms shifts loss to the issuer and creates conduct risk if the KID moderate scenario contradicts the pitch. The governance question is where to draw the line between commercial flexibility and product discipline.

Where the narrative ends

You leave the committee with a single actionable outcome: confirm launch on revised terms, delay and redesign, or reject. Section 8 states what to submit; Exhibits A–E then provide the term sheet, press context, KID excerpt, market inputs, and competitor scan needed to support that judgement.

8. Deliverables

Formal requirements for this case. Work from the locked **27 November 2026** snapshot (Exhibit D) and the proposed terms in Exhibit A unless you revise a lever under Option B.

What to submit

1. **Pricing workbook** (Excel or Python) — Monte Carlo (or equivalent) fair value of the proposed structure at 100% issue, with documented code or formulae.
2. **Payoff diagram** — a tree or chart of the Phoenix payoffs constructed from Exhibit A (coupon, autocall, barrier, and maturity capital outcomes).
3. **Recommendation memo** (≤ 1 page) — a single choice among Options A / B / C (Section 6), covering key pricing assumptions and sensitivities, economics versus the 1.5% floor, expected distributor reaction in France and Italy, and principal conduct / suitability risks if launched unchanged.
4. **Short compliance note** (≤ ½ page) — coherence of internal fair value, sales language ("6% healthcare income"), and the PRIIPs KID moderate scenario (Exhibit C), plus the principal MiFID II target-market / suitability risks if launched unchanged.

Required analysis (must appear in the workbook and/or memo)

1. Fair value and implied **gross structuring margin** at the proposed 6% / 60% / 100% issue package, using the desk mid **17%** vol.
2. **Vol repricing risk** — fair value / margin at 16% and 18% (±1 vol point around the mid); state how much margin would be at risk if vol moves before issue. Do not change the base-case vol to clear the floor.
3. The **credit spread** taken from the Exhibit D ALM grid, the **expected life** used to choose it, and a one-line justification.
4. If margin is below the **1.5%** floor: **one** revised **product** lever (coupon, barrier, autocall trigger, maturity, or issue price), re-priced margin, and a brief note on expected French / Italian distributor reaction.
5. A clear **launch / revise / reject** recommendation consistent with KID language and target-market constraints.

Scope notes

- Live or post-fixing market levels are out of scope for the workbook: price the frozen 27 November snapshot only. Issue-date repricing is real process (see Section 5) but not a second Monte Carlo run in this case.
- The competitor scan (Exhibit E) informs distribution judgement; it does not replace your own fair-value work.

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Exhibits

Term sheet · press · KID · market data · competitor scan

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Exhibit A — Final Terms (Summary)

Healthcare Phoenix Autocallable Notes due 1 December 2031

Exhibit A

Case fiction. Banque Meridian, ISIN, and terms are invented for this case study. Structure calibrated to standard EU retail **Phoenix** autocallables (cf. industry term sheets). Retail distributors sometimes label similar notes **Athena**; desk terminology reserves **Athena** for structures where coupon and autocall share a single barrier. This note is **Phoenix** (separate coupon and autocall barriers) — full desk distinction in case §4.

Cover information

Product name	Healthcare Phoenix Autocallable Notes due 1 December 2031
ISIN	XS2BM0HC2026
Common code	BMHC2031
Issuer	Banque Meridian (Luxembourg)
Guarantor	None — unsecured, unsubordinated obligations of Banque Meridian
Currency	EUR
Specified denomination	EUR 1,000 per Note
Aggregate nominal amount	EUR 50,000,000
Issue price	100.00% of Specified Denomination
Issue date / Settlement date	[15 December 2026] (expected, subject to committee approval on 1 December 2026)
Maturity date	1 December 2031 (unless previously redeemed)
Distribution	France, Italy, Luxembourg — retail and private-banking networks
Form	Registered notes · cleared through Euroclear / Clearstream

Summary for investors

These Notes provide **conditional quarterly income** linked to the performance of the **Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% Index** (EUR, price return). If the Index closes at or above **60%** of its Initial Level on a Coupon Observation Date, Noteholders receive a **1.50%** quarterly coupon (**6.00% per annum** equivalent).

On each **Autocall Observation Date**, if the Index closes at or above **100%** of the Initial Level, the Notes are **automatically redeemed early** at **100%** of the Specified Denomination, together with the coupon payable on that date (if any).

If the Notes are not autocalled, at the Maturity Date:

- if the Index is at or above **60%** of the Initial Level ⟶ **100%** redemption;
- otherwise ⟶ redemption at **Notional × (Final Level ÷ Initial Level)** (full downside participation below the barrier).

Coupons are **not memory-linked**: a missed coupon is not paid later.

Underlying

Reference Index	Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% (EUR — Price Return)
STOXX / Bloomberg	ISX5HCTD / ISX5HCTD Index
Desk Bloomberg alias	EIIXHC5E / .EIIXHC5E
Index sponsor	STOXX Ltd.
Initial Fixing Date	27 November 2026 (Trade Date)
Initial Level (S_0)	EUR 2318.47 (Index closing level on Initial Fixing Date)
Coupon Barrier	60.00% × S_0 = EUR 1391.08
Autocall Barrier	100.00% × S_0 = EUR 2318.47
Final Valuation Date	1 December 2031
Calculation Agent	Banque Meridian

The Index reflects a tilted, decrement-adjusted segment of Euro STOXX healthcare-related constituents. The Issuer does not hold the Index components. Returns on the Notes depend on the Index level on observation dates only (not on dividends separately distributed by index constituents beyond the Index design).

Key dates

Trade Date / Initial Fixing	27 November 2026
Issue Date	[15 December 2026] (expected; ≈ T+2 weeks from trade)
First Coupon Observation	1 March 2027
First Autocall Observation	1 December 2027
Scheduled Maturity	1 December 2031

Dates in square brackets are expected only — not yet fixed; they move if committee revises the launch or settlement slips.

Day-count: ACT/360 for coupon accrual display purposes; coupons paid as flat percentages of denomination.

Business days: If an Observation Date is not a Index Calculation Day, the immediately following Index Calculation Day applies (**Modified Following**). Coupon and redemption payments settle **T + 3** Business Days after the relevant Observation Date.

Conditional coupons

Unless previously redeemed, on each **Coupon Observation Date** the Issuer shall pay, in respect of each Note:

$$\text{Coupon Amount} = 1.50\% \times \text{Specified Denomination}$$

if and only if:

$$\text{Index Level} \geq \text{Coupon Barrier}$$

Otherwise the Coupon Amount for that date is **zero**. **No memory feature** applies — unpaid coupons are not deferred or accumulated.

Annual equivalent coupon (if all four quarterly conditions met): 6.00% p.a.

Autocall (early redemption)

On each **Autocall Observation Date** listed in Section 8, if:

$$\text{Index Level} \geq \text{Autocall Barrier}$$

then the Notes shall be **automatically called** in whole (not in part) and the Issuer shall redeem each Note at:

$$\text{Early Redemption Amount} = \text{Specified Denomination} + \text{Coupon Amount due on that Autocall Observation Date}$$

Following autocall, no further amounts are payable and the Notes are cancelled.

Redemption at maturity

If not previously redeemed, each Note shall be redeemed on the Maturity Date at an amount determined by the Calculation Agent as follows.

Coupon Amount has the meaning in **Conditional coupons** above: 1.50% of Specified Denomination if the Index is at or above the Coupon Barrier on that date; otherwise zero.

Scenario	Final Redemption Amount per Note
Index Level ≥ 60% × S_0 at Final Valuation	100.00% of Specified Denomination + **Coupon Amount**
Index Level < 60% × S_0 at Final Valuation	$\text{Specified Denomination} \times \frac{\text{Index Level}}{S_0}$

Example (Final Valuation): if $S_0 = 2318.47$ EUR and the Index closes at 1391.08 (60.00% of Initial Level), redemption is **EUR 1,000** plus the Coupon Amount. If the Index closes at 1159.23 (50.00% of Initial Level), redemption is **EUR 500** per Note (no Coupon Amount).

Issue price and expenses

Notes are issued at **100.00%** of Specified Denomination. The Issuer's internal pricing target assumes a minimum **gross structuring margin** of **1.50%** of nominal to cover distribution and hedging costs. No separate management fee is deducted from Noteholders after issuance.

Observation schedule

Observation Date	Coupon?	Autocall?	Barrier(s)
1 Mar 2027	Yes	—	Coupon ≥ 60% Initial Level
1 Jun 2027	Yes	—	Coupon ≥ 60% Initial Level
1 Sep 2027	Yes	—	Coupon ≥ 60% Initial Level
1 Dec 2027	Yes	Yes	Coupon ≥ 60% · Autocall ≥ 100% Initial Level
1 Mar 2028	Yes	—	Coupon ≥ 60% Initial Level
1 Jun 2028	Yes	—	Coupon ≥ 60% Initial Level
1 Sep 2028	Yes	—	Coupon ≥ 60% Initial Level
1 Dec 2028	Yes	Yes	Coupon ≥ 60% · Autocall ≥ 100% Initial Level
1 Mar 2029	Yes	—	Coupon ≥ 60% Initial Level
1 Jun 2029	Yes	—	Coupon ≥ 60% Initial Level
1 Sep 2029	Yes	—	Coupon ≥ 60% Initial Level
1 Dec 2029	Yes	Yes	Coupon ≥ 60% · Autocall ≥ 100% Initial Level
1 Mar 2030	Yes	—	Coupon ≥ 60% Initial Level
1 Jun 2030	Yes	—	Coupon ≥ 60% Initial Level
1 Sep 2030	Yes	—	Coupon ≥ 60% Initial Level
1 Dec 2030	Yes	Yes	Coupon ≥ 60% · Autocall ≥ 100% Initial Level
1 Mar 2031	Yes	—	Coupon ≥ 60% Initial Level
1 Jun 2031	Yes	—	Coupon ≥ 60% Initial Level
1 Sep 2031	Yes	—	Coupon ≥ 60% Initial Level
1 Dec 2031	Yes	—	**Final valuation** · Maturity

Table 1: Full observation schedule (20 coupon dates; 4 autocall dates; 1 final valuation).

Target market (MiFID II / PRIIPs summary)

Investor type	Retail and advised private-banking clients
Investment horizon	Buy-and-hold compatible with 5-year term; early exit via autocall or illiquid secondary market
Knowledge & experience	Basic understanding of equity indices and barrier products required
Loss-bearing capacity	Must tolerate loss of capital below 60% Index barrier and issuer credit risk
Distribution channels	France, Italy, Luxembourg — bank branches and private bankers
KID	See Exhibit C — document to be provided to investors prior to subscription

Principal risk factors (abridged)

- **Issuer credit risk** — Notes are unsecured obligations of Banque Meridian. Holders bear full issuer default risk.
- **Market risk** — Below the 60% barrier at maturity, capital is reduced in proportion to the Index fall.
- **Autocall risk** — Early redemption may reinvestment proceeds in lower-yielding environments.
- **Liquidity risk** — No assured secondary market; bid/offer spreads may be wide.
- **Gap / discontinuity risk** — Index moves between observation dates are not observed for barriers.
- **Complexity** — Payoff depends on multiple dates and barriers; PRIIPs scenarios may differ from internal fair value.

Healthcare Phoenix Autocallable

Market data for pricing: Exhibit D (Initial Fixing 27 November 2026).

Exhibit B1 — Press Excerpt (English)

Healthcare shows strong signs of recovery · FT Adviser · 11 August 2026

Exhibit B1

Abridged excerpt for this case study — not a full reproduction of the source article.

Full article: McDermott, D., "Healthcare shows strong signs of recovery," *FT Adviser*, 11 August 2026.

https://www.ftadviser.com/content/b5340a65-ad65-466e-b4bb-f8d30f76bc5a

Context

After several years of underperformance, global healthcare equities began a **significant turnaround** in mid-2026. Advisers and fund managers report growing client interest in sector exposure, driven by improved fundamentals and easing policy uncertainty.

Key points

Recovery after a long slump

Healthcare had lagged despite supportive long-term trends (demographics, innovation, AI). In recent months, investors have "finally adjusted their view" and the sector has staged a turnaround.

Policy overhang has eased

Earlier concerns included US **most-favoured-nation drug pricing**, pharmaceutical tariffs, and administrative disruption in US health agencies. By end-2025, major pharmaceutical companies had reached **pricing agreements** with the US administration and institutional normality had largely returned.

Valuations vs fundamentals

- **Gareth Powell** (Polar Capital Global Healthcare Trust): valuations have been *"disconnected from strong fundamentals."*
- **Siddharth Jain** (GQG Partners): pharmaceuticals trade at *one of the largest discounts to the broader market on record* — "a mean-reverting thing. These discounts don't last forever."

Structural growth drivers

- Ageing populations ⟶ higher healthcare demand
- Innovation: immunotherapy, targeted therapies, improved cancer survival
- **AI adoption** in diagnostics and R&D
- **M&A acceleration** in biotech

Fund-manager positioning

Several managers report **increasing healthcare allocations**, including European names (Novartis, AstraZeneca, GSK).

Risks acknowledged

Government reimbursement pressure, US market dependency, patent cliffs, tariff and pricing policy risk — largely described as *"well known and understood"* by the market.

Author's closing thesis

> "Valuations had moved too far for the healthcare sector, reflecting only its problems and not its potential upside. The revival of the past few months may show that the market is starting to recognise its strengths."

 Healthcare Phoenix Autocallable

Exhibit B2 — Extrait presse (français)

Les Echos Investir · 13 août 2026

Exhibit B2

Résumé abrégé pour cette étude de cas — ne pas confondre avec l'article intégral.

Article complet : « Le secteur pharmaceutique est moins entouré, mais les opérations de fusion-acquisition accélèrent », *Investir* (Les Echos), 13 août 2026.

https://investir.lesechos.fr/actu-des-valeurs/etudes/le-secteur-pharmaceutique-est-moins-entoure-mais-les-operations-de-fusion-acquisition-accelerent-2247014

Contexte

Après plusieurs trimestres de pression réglementaire et de sous-performance boursière, le **secteur pharmaceutique mondial** a amorcé un rebond fin 2025, puis consolidé sa remontée au premier semestre 2026.

Points clés

Le déclencheur : l'accord Trump–Pfizer (1er octobre 2025)
Le rebond sectoriel s'accélère après l'accord entre Donald Trump et Pfizer. Le secteur poursuit sa remontée boursière **jusqu'en février 2026**.

La visibilité réglementaire revient

- Les baisses de prix annoncées ne viseront finalement que **Medicaid** (patients les plus démunis).
- Les grands groupes pharmaceutiques s'engagent à **relocaliser la production aux États-Unis**, avec des investissements de **20 à 50 milliards de dollars** chacun.
- Ces concessions ont **« permis de relâcher la pression »** sur les valorisations.

Conséquence : accélération des M&A
Sébastien Malafosse, gérant actions internationales chez **Edmond de Rothschild AM** :

> « Après ce regain de visibilité, les big pharmas se sont senties beaucoup plus à l'aise pour délier leur bourse et se mettre à acheter des cibles, notamment en biotech. On a assisté à un retour en force des fusions-acquisitions. Avec de nombreuses opérations au-dessus de 10 milliards de dollars. »

Lecture du titre
Le secteur est « **moins entouré** » (moins assombri par l'incertitude politique et tarifaire) tandis que les **opérations de fusion-acquisition accélèrent**.

Thèse implicite pour les investisseurs

Driver	Implication
Visibilité US	Fin du surdiscount « politique »
M&A biotech	Soutien aux valorisations
Big pharma cash-rich	Secteur actif, pipelines à regarnir

Risques à considérer

- Dépendance au **marché américain** et aux accords politiques

Healthcare Phoenix Autocallable

- M&A ≠ performance de l'indice à court terme
- Biotech ≠ big pharma : un indice sectoriel **diversifie** mais ne capture pas chaque prime de contrôle

Exhibit C — PRIIPs KID (Excerpt)

Draft · ISIN XS2BM0HC2026

Exhibit C

Case fiction. This is an **abridged, invented** PRIIPs KID excerpt for teaching purposes. Scenario figures are calibrated to the proposed terms in Exhibit A and are **not** tied to the structurer's internal Monte Carlo fair value (Exhibit D). Layout follows common EU retail KID conventions; it is not a regulatory filing.

Product	Healthcare Phoenix Autocallable Notes due 1 December 2031
Manufacturer / Issuer	Banque Meridian (Luxembourg)
Producer	Banque Meridian — Structured Products (Retail)
ISIN	XS2BM0HC2026
Currency	EUR
Issue price	100% per Note (€1,000 minimum denomination)
Recommended holding period (RHP)	5 years (to 1 December 2031, unless autocalled earlier)

Summary risk indicator

5 / 7

Medium-high risk · Lower risk classes exist

Capital is **at risk**. You may lose part or all of your investment if the Index falls below the capital barrier at the final observation date, or if the Issuer defaults. Conditional coupons are **not guaranteed**.

What is this product?

You invest in a **structured note** linked to the Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5% Index. You may receive **quarterly conditional coupons** (up to 6.00% p.a. equivalent) and the Notes may be **redeemed early** if autocall conditions are met. You are exposed to the Index level on observation dates and to **issuer credit risk**.

This KID describes outcomes under PRIIPs **prescribed scenarios**, not the bank's internal pricing model.

What could you get back?

Illustration for a **€10,000** investment held for the **recommended holding period** (5 years). Figures include the impact of costs shown below. **Past performance and scenarios are not reliable indicators of future results.**

Scenario	You could get back	Average return each year
Stress	€ 7,450	−5.6% / year
Unfavourable	€ 8,650	−2.9% / year
Moderate	€ 10,720	+1.4% / year
Favourable	€ 12,650	+4.8% / year

Table 2: Performance scenarios at the 5-year recommended holding period (after costs).

Stress and **unfavourable** scenarios reflect weak Index paths where coupons are partly or fully missed and capital is reduced below the 60% barrier at final valuation. The **moderate** scenario assumes a middling Index path with partial coupon receipt and no autocall. The **favourable** scenario assumes several coupons paid and redemption at par (or early autocall with coupons — methodology maps this to the RHP illustration).

If you exit before the recommended holding period, secondary-market prices may be substantially below these illustrations. You may not be able to sell when you want to.

One-year holding period (if you exit early)

Scenario	After 1 year	Return
Unfavourable	€ 9,180	−8.2%
Moderate	€ 10,120	+1.2%
Favourable	€ 10,580	+5.8%

Early exit returns are indicative only; bid/offer spreads on retail structured notes are often wide.

What are the costs?

Costs over 5 years	Amount
Entry costs	0.00% — included in issue price
Exit costs (secondary market)	Not applicable / unknown if illiquid
Ongoing costs	0.00% — no separate management fee
Incidental costs	0.00%
Reduction in Yield (RIY)	**1.85% each year**

RIY aggregates structuring, distribution, and hedging costs embedded in the product economics. It reduces the return you could have received if costs were zero.

The RIY is **not** the same as the bank's internal **gross structuring margin** on issuance, but both reflect issuer economics taken at subscription.

Main risks (abridged)

- **Market risk** — Index may fall; below 60% of initial level at final valuation, capital is reduced in proportion to the Index decline.
- **Coupon risk** — Coupons depend on Index level on each quarterly date; missed coupons are not paid later (**no memory**).
- **Autocall risk** — Early redemption may occur in rising markets; reinvestment may be at lower yields.
- **Issuer risk** — If Banque Meridian fails, you may receive nothing.
- **Liquidity risk** — No assured secondary market.

Desk note (not part of official KID)

Compliance flagged that the **moderate** scenario (+1.4% p.a. at RHP) is difficult to reconcile with distributor copy citing **"6% healthcare income"** unless advisers explain conditionality, barriers, and issuer credit explicitly. This draft is pending sign-off pending the structurer's fair-value run.

Full terms: Exhibit A. Market inputs for internal pricing: Exhibit D.

Exhibit D — Market Data Snapshot

Trade date / initial fixing · 27 November 2026

Exhibit D

Case fiction. Spot, OIS curve, OIS discount factors, and desk-mid volatility below are **locked** for this case (27 November 2026 snapshot). **Credit spread** is a choice from the ALM grid — choose and justify. Vol ±1 pt is **repricing-risk** sensitivity only. Terms in Exhibit A are the **proposed** issue to be priced at this snapshot.

Base-case inputs

Initial Level S_0	EUR 2318.47 (closing level, 27 November 2026) — **locked**
Coupon / capital barrier	60% × S_0 = EUR 1391.08 — **proposed** (Exhibit A)
Autocall barrier	100% × S_0 = EUR 2318.47 — **proposed** (Exhibit A)
Implied volatility σ	Desk mid **17.00%** flat Black / GBM — **locked** for base case; ±1 vol-point sensitivity as issue-repricing risk
Dividend / decrement q	5.00% p.a. continuous — **locked**; do **not** add a further dividend yield
Discounting (hedge / index)	EUR OIS zeros in the observation-date table — **locked**
Credit spread (note CFs)	**Student choice** from the ALM grid below; apply only to coupons and redemption
Process	GBM under the risk-neutral measure; 50,000 paths

Risk-neutral SDE for the **published decrement index**:

$$dS_t = (r_t - q)S_t dt + \sigma S_t dW_t^Q, \quad q = 5\%, \quad \sigma = 17\% \text{ (base)}.$$

Build index paths with the OIS forwards implied by the table below. Discount **note** coupons and redemption with

$$\mathrm{DF}_{\text{note}}(T) = \mathrm{DF}_{\text{OIS}}(T)e^{-sT}$$

, where s is your chosen credit spread from the ALM grid (not OIS-only).

Underlying identifiers

Index	EURO iSTOXX 50 Future Healthcare Tilted NR Decrement 5%
STOXX symbol / Bloomberg	ISX5HCTD / ISX5HCTD Index
ISIN	CH1123123734
Currency / type	EUR · Price return (decrement already applied)
Index sponsor	STOXX Ltd.
Desk Bloomberg (Exhibit A)	EIIXHC5E / .EIIXHC5E

The Index replicates the **net-return** parent with a **constant 5% performance deduction** accruing daily. That drag is already in the published level S_t. Modelling $q = 5\%$ and simulating S is the correct treatment; modelling $q = 0$ would omit the decrement and overstate fair value.

Spot and context

Trade-date close S_0	2,318.47
Calibration reference	Published index ≈ 2,341 in mid-August 2026; 52-week high 2,351.63 (13 Aug 2026)
Case path to trade date	Modest pullback from August highs into the 27 November fixing
52-week range (context)	1,947.04 (2 Sep 2025) — 2,351.63 (13 Aug 2026)

EUR rates

Par EURIBOR swap rates (annual, 30/360 teaching convention) as of the trade-date close, calibrated to mid-August 2026 market levels (2.91% 1Y / 3.07% 5Y). Overnight: €STR 2.189%.

Tenor	Par swap	Discount factor	Zero (cont.)
€STR (overnight)	2.189%	1.00000	2.19%
1Y	2.91%	0.97172	2.87%
2Y	3.00%	0.94257	2.96%
3Y	3.03%	0.91429	2.99%
4Y	3.05%	0.88668	3.01%
5Y	3.07%	0.85955	3.03%

Zeros are bootstrapped from the par swaps (annual fixed vs annual, teaching bootstrap — not an official ICE close). Linear interpolation of the continuously compounded zero is used between pillars.

ALM credit grid (note cash-flows)

Treasury (**Banque Meridian** ALM) publishes the following **credit spreads vs OIS** for unsecured retail-note funding. Pick **one** tenor from **expected life** of the note (see §5). Apply that spread as a **flat** continuous bump s to every note cash-flow; do **not** interpolate a new curve and do **not** apply s to index drift.

Expected life	Spread s vs OIS	Typical argument
1Y	+10 bp	First autocall is likely; note exits at 1 Dec 2027
2Y	+15 bp	Expected exit around year 2, **or** clients rolled into a new theme
3Y	+20 bp	Note more likely to survive early calls
5Y	+30 bp	Conservative: fund as if held to scheduled maturity

$$\mathrm{DF}_{\mathrm{note}}(T) = \mathrm{DF}_{\mathrm{OIS}}(T)e^{-sT}$$

Check: at the first autocall date, $T = 1.0103$, $\mathrm{DF}_{\mathrm{OIS}} = 0.97143$. With the 1Y spread $s = 10$ bp, $\mathrm{DF}_{\mathrm{note}} = 0.97143 \times e^{-0.0010 \times 1.0103} \approx 0.97045$.

Discount factors on observation dates

Time is measured from **27 November 2026** on an ACT/365.25 basis. **DF (OIS)** is locked and is used for index drift / hedge. Convert to note discount factors with the formula above.

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Observation	Type	T (y)	r (cc)	DF (OIS)
1 Mar 2027	Coupon	0.2574	2.36%	0.99393
1 Jun 2027	Coupon	0.5092	2.54%	0.98717
1 Sep 2027	Coupon	0.7611	2.71%	0.97961
1 Dec 2027	Coupon + autocall	1.0103	2.87%	0.97143
1 Mar 2028	Coupon	1.2594	2.89%	0.96424
1 Jun 2028	Coupon	1.5113	2.91%	0.95692
1 Sep 2028	Coupon	1.7632	2.94%	0.94955
1 Dec 2028	Coupon + autocall	2.0123	2.96%	0.94222
1 Mar 2029	Coupon	2.2587	2.97%	0.93523
1 Jun 2029	Coupon	2.5106	2.97%	0.92809
1 Sep 2029	Coupon	2.7625	2.98%	0.92098
1 Dec 2029	Coupon + autocall	3.0116	2.99%	0.91397
1 Mar 2030	Coupon	3.2580	2.99%	0.90712
1 Jun 2030	Coupon	3.5099	3.00%	0.90015
1 Sep 2030	Coupon	3.7618	3.00%	0.89322
1 Dec 2030	Coupon + autocall	4.0110	3.01%	0.88638
1 Mar 2031	Coupon	4.2574	3.01%	0.87965
1 Jun 2031	Coupon	4.5092	3.02%	0.87281
1 Sep 2031	Coupon	4.7611	3.02%	0.86599
1 Dec 2031	**Final / maturity**	**5.0103**	**3.03%**	**0.85929**

Table 3: Locked OIS discount factors for every coupon, autocall, and final-valuation date in Exhibit A.

A constant 3.03% continuous rate (the 5Y zero) is acceptable for a **first pass** on index drift; still apply the chosen credit spread to note cash-flows. The table above is the reference for a reproducible Monte Carlo.

Volatility

No listed options exist on ISX5HCTD. Trading and the desk agree a **working mid** of **17%** flat Black vol for this snapshot, consistent with:

- 17% one-year realised vol on European healthcare indices in 2026;
- VSTOXX (EURO STOXX 50, 30-day implied) in the mid-teens in August 2026;
- the 5Y ATM column in the smile table below.

Expiry	ATM	80% strike	60% strike
3M	15.5%	18.0%	22.0%
1Y	16.5%	18.5%	21.5%
2Y	16.8%	18.5%	21.0%
3Y	17.0%	18.5%	20.5%
5Y	17.0%	18.5%	20.5%

Task: price the base case at **17%** ATM (5Y column as anchor). Then re-price at **16%** and **18%** (±1 vol point) to show **issue-repricing risk** — how much margin would move if vol has shifted by the time the note prints. Do **not** adopt 16% or 18% as the committee base case to clear the floor; revise a product lever instead. The smile is **optional** extra credit; do not mix ATM and 60% vols in the same base-case path set.

Other desk assumptions

Repo / borrow	0 bp (cash equity index; no stock-loan)
Correlation	Not required (single underlying)
Credit spread	Student choice from ALM grid (+10 / +15 / +20 / +30 bp vs OIS)
Credit of issuer	Banque Meridian — unsecured notes; no CSA. Hedge / index on OIS; note CFs on chosen Meridian ALM spread
Business days	As Exhibit A (Modified Following, Index Calculation Days)

What not to pull from a live feed

Do not replace S_0, the discount-factor table, or the decision date with a later market print. The assignment is internally consistent only at this snapshot.

Sources for calibration (not live inputs): STOXX ISX5HCTD factsheet; EURIBOR swap indications around 17 August 2026; VSTOXX and sector realised-vol context, August 2026.

Exhibit E — Competitor Scan (Desk Note)

Italian retail · November 2026

Exhibit E

Desk compilation. Summary of **public** retail terms observed in the Italian market. Issuer names are anonymised where required; underlying index and headline economics are taken from published retail sheets / KID extracts. Students **use** this exhibit for commercial comparison — they are not asked to reproduce the research from scratch.

Banque Meridian · Structured Products (Retail) · **BM-SP/2026/HC-COMP-01** · 30 November 2026

Purpose

Banca Lombarda requested a side-by-side view of Meridian's proposed healthcare Phoenix (Exhibit A) against a competing Italian retail issue already in their Q4 pipeline. This note is for **distribution positioning** only; competitor fair value is **not** provided.

Headline comparison

Feature	Meridian (proposed)	Competitor A
Product type	Phoenix autocallable	Athena autocallable (retail label)
Issuer (public)	Banque Meridian	Major Italian retail bank (programme issuer)
Underlying	Euro iSTOXX 50 Future Healthcare Tilted NR Decrement 5%	Same index (ISX5HCTD)
Issue / maturity	[15 Dec 2026] / 1 Dec 2031 (5Y)	15 Sep 2026 / 15 Sep 2030 (4Y)
Issue price	100%	100%
Conditional coupon	6.00% p.a. (1.50% quarterly)	6.25% p.a. (1.5625% quarterly)
Coupon condition	Index >= 60% of initial	Index >= 62% of initial
Autocall	Annual if index >= 100% initial	Annual if index >= 100% initial
Capital at maturity	100% if index >= 60%; else par × final/initial	Same soft 60% style barrier
Primary distribution	France (lead), Italy, Luxembourg	Italy (nationwide retail network)
Adviser headline	"6% healthcare income"	"6.25% healthcare income · lower barrier"

Table 4: Public-term comparison as seen by Italian distributors (rounded for desk use).

What distributors are saying

Channel	Reported objection / ask
Banca Lombarda (Italy)	"Intesa-style flow already quoted at **6.25%** with a **62%** coupon trigger on the same index. Why should we push Meridian at **6.00%** unless you improve the coupon or barrier?"
Réseau Patrimoine (France)	Less focused on Italian competitor; wants printable healthcare theme for December events and a credible KID. Asks whether **6%** can be maintained in final terms.

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Desk read (not for external distribution)

1. **Italy is a headline fight.** Competitor A wins the simple comparison on coupon (6.25% vs 6.00%) and slightly easier coupon condition (62% vs 60% is client-friendly at the margin).
2. **France is a story fight.** Press dossier (Exhibits B1–B2) matters more than competitor terms.
3. **Matching competitor economics is not free.** Raising coupon or lowering barriers would likely **widen** the gap versus Meridian's 1.5% gross margin floor — internal pricing must lead, competitor scan second.
4. **Maturity differs (4Y vs 5Y).** Direct comparison is imperfect; advisers may still treat headline coupon as like-for-like.

Sources (public)

1. Major Italian retail bank — retail factsheet, **Healthcare Athena Autocall** programme, September 2026 issuance (abridged terms supplied to distributors).
2. STOXX Ltd. — ISX5HCTD index definition (underlying confirmation).
3. Internal distributor call notes — Banca Lombarda, 25–29 November 2026 (paraphrased).

Meridian proposed terms: Exhibit A. Internal pricing inputs: Exhibit D.